Southerly Economics

Independent research

Interest Rate Outlook September 2026

Cash rate, BBSW and senior secured real estate credit pricing to mid 2027

Prepared for Quillwood Credit Partners

Southerly Economics, Research

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Synthetic - for demonstration. All names, entities and figures are fictional.

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Forecast horizon	September 2026 to June 2027
Scope	RBA cash rate, 3-month BBSW, private credit senior secured real estate spreads

Document details

1. Summary

The Reserve Bank of Australia (RBA) cash rate target is 3.35% and the 3-month BBSW is 3.52%. Our base case is a single 25 basis point reduction in the cash rate, taking it to 3.10% by mid 2027. We expect the RBA to hold through the remainder of 2026 and to move once inflation outcomes confirm a sustained return to the target band.

For lenders in senior secured real estate private credit, the practical consequence is a modest decline in base rates and little change in margins. Spreads for the segment currently sit at 4.5% to 6.5% over BBSW, which implies all-in floating coupons of 8.02% to 10.02% today. On our base case the same spread range implies 7.77% to 9.77% by June 2027.

- Cash rate: 3.35% now, 3.10% by mid 2027 in the base case, with the cut most likely at the May 2027 meeting.
- 3-month BBSW: 3.52% now, forecast at 3.27% by June 2027, retaining a premium of about 17 basis points over the cash rate.
- Private credit spreads: 4.5% to 6.5% over BBSW for senior secured real estate, expected to remain broadly stable.
- Borrower serviceability improves only marginally under the base case. Leverage and asset income remain the dominant drivers of interest cover.

2. Current settings

The cash rate has been held at 3.35% and the market has largely priced a shallow easing cycle. The 3-month BBSW of 3.52% sits 17 basis points above the cash rate. That premium reflects bank funding costs and term liquidity and has been stable enough to serve as a working assumption for our forecasts.

Indicator	Current level
RBA cash rate target	3.35%
3-month BBSW	3.52%
BBSW premium to cash rate	0.17%
Senior secured real estate spread (low)	4.50%
Senior secured real estate spread (high)	6.50%
Implied all-in coupon (low)	8.02%
Implied all-in coupon (high)	10.02%

Table 1: Market settings at 15 September 2026

3. Cash rate outlook

3.1 Reasoning for the base case

Inflation has moderated toward the upper half of the 2 to 3 per cent target band, and the labour market has eased from its tightest point without a sharp rise in unemployment. These conditions give the RBA room to reduce the restrictive stance, but not urgency. The Board has signalled that it wants several consecutive quarters of benign outcomes before acting, and we expect it to wait.

We therefore expect no change at the remaining 2026 meetings and a single 25 basis point reduction in May 2027. This takes the cash rate to 3.10%, which we regard as close to a neutral setting for the current cycle rather than the start of a deep easing programme.

3.2 Forecast path

Quarter end	Cash rate	3-month BBSW
September 2026	3.35%	3.52%
December 2026	3.35%	3.52%
March 2027	3.35%	3.45%
June 2027	3.10%	3.27%

Table 2: Base case forecast path

BBSW should begin to price the May 2027 reduction in the March 2027 quarter, so the 3-month rate falls slightly ahead of the cash rate. By June 2027 the BBSW premium returns to approximately 17 basis points.

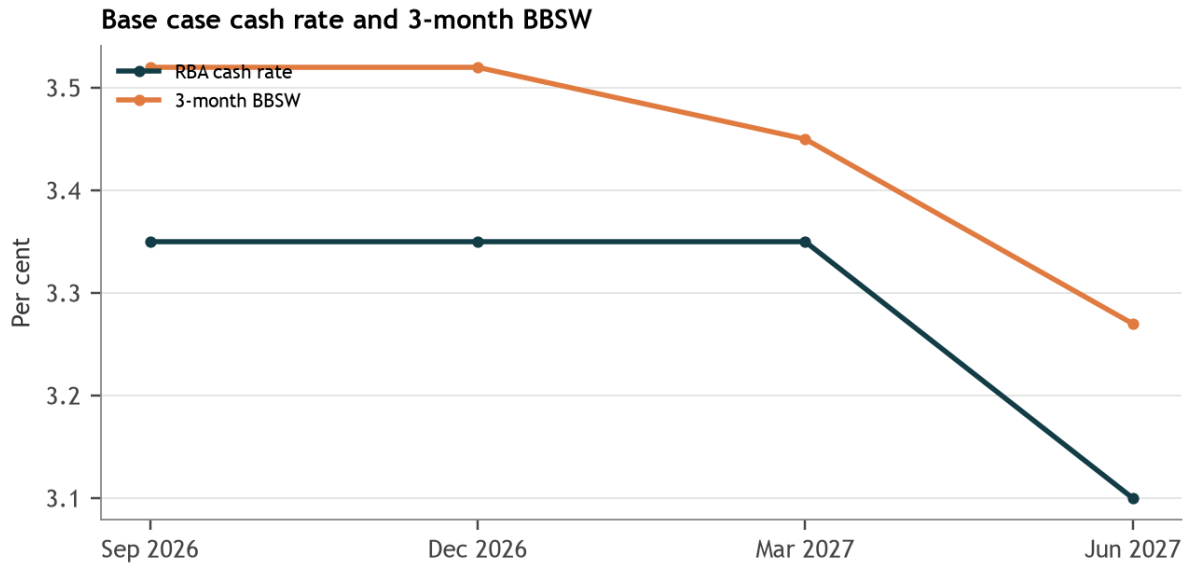


Figure 1: Southerly Economics base case, quarter end

4. Credit spreads in senior secured real estate

Private credit spreads for senior secured real estate loans are currently 4.5% to 6.5% over BBSW. The lower end applies to lower leverage loans against stabilised, income producing assets with strong sponsors. The upper end applies to higher leverage, transitional or development exposures, and to loans where valuation or leasing risk is elevated.

We do not expect a material change in this range over the forecast horizon. A lower base rate reduces borrower cost, but it does not by itself narrow the premium lenders require for illiquidity, construction or refinancing risk. Bank re-entry to selected segments is the main factor that could compress the lower end, and we see it as gradual rather than abrupt.

Measure	Today	Jun 2027 base
3-month BBSW	3.52%	3.27%
All-in coupon at 4.5% spread	8.02%	7.77%
All-in coupon at 5.5% spread	9.02%	8.77%
All-in coupon at 6.5% spread	10.02%	9.77%

Table 3: Implied floating coupons, spreads held constant

5. Implications for borrowers and lenders

5.1 Interest cover

A 25 basis point fall in the base rate reduces annual interest on an unhedged A$100 million facility by A$0.25 million. That is useful but small relative to the effect of leverage. The table below illustrates interest cover for a stabilised asset with a net operating income yield of 6.5% of value, borrowing at the mid-point spread of 5.5% over BBSW.

LVR	Debt yield	ICR today	ICR Jun 2027
55%	11.82%	1.31x	1.35x
60%	10.83%	1.20x	1.24x
65%	10.00%	1.11x	1.14x
70%	9.29%	1.03x	1.06x

Table 4: Illustrative interest cover by leverage (coupon 9.02% today, 8.77% June 2027)

At a 70% LVR the improvement does not lift interest cover to a comfortable level. At 60% or below, cover remains above 1.20x in both periods. Covenant levels and sizing discipline therefore matter more than the direction of the base rate.

5.2 Lender earnings and hedging

For a floating rate lender, a lower BBSW reduces portfolio coupon income by roughly the same amount as the fall in the base rate, unless offset by fees or new origination at wider margins. Based on our forecast, a fully floating portfolio would see gross coupon fall by about 25 basis points between now and June 2027. Many borrowers hold interest rate caps or swaps, and the benefit of lower rates will reach them unevenly. Lenders should confirm hedging terms and expiry dates when assessing covenant headroom.

5.3 Refinancing and valuation

Lower base rates support capitalisation rates only indirectly. We do not forecast a broad-based fall in yields over the horizon, so refinancing risk should be assessed against current valuations rather than an assumed recovery. Lenders should sensitise exit values and take care with loans maturing in the second half of 2027.

6. Scenarios

The base case carries the highest probability, but both tails are plausible. Faster easing would follow a weaker labour market or a global growth shock. Rates on hold would follow renewed price pressures, particularly in services and housing costs.

Scenario	Probability	Cash rate Jun 2027	BBSW Jun 2027
Base: single cut	55%	3.10%	3.27%
Faster easing	20%	2.85%	3.02%
Higher for longer	25%	3.35%	3.52%

Table 5: Scenario summary, assuming a 17 basis point BBSW premium

At the 5.5% mid-point spread, the all-in coupon would be 8.77% in the base case, 8.52% under faster easing and 9.02% if rates remain on hold. The spread between the two tail outcomes is 50 basis points, which is modest relative to the width of the credit spread range itself.

7. Key risks to the outlook

- Inflation persistence: a stalling of disinflation would remove the May 2027 cut and keep BBSW near 3.52%.
- Global financial conditions: offshore tightening or a risk-off episode could widen bank funding costs and lift the BBSW premium above 17 basis points even if the cash rate is unchanged.

- Domestic demand: a sharper slowdown in employment would bring easing forward and lower coupons across floating portfolios.
- Property market liquidity: weaker transaction volumes would widen the upper end of the spread range for transitional and development lending, regardless of the base rate.
- Policy communication: changes in RBA guidance can move BBSW ahead of any decision, as shown in the forecast for March 2027.

8. Conclusions

The rate outlook is for stability followed by a shallow reduction. Base rates are unlikely to be the main determinant of credit performance in senior secured real estate over the next nine months. Lenders should focus on leverage, income quality, hedging and refinancing risk. Pricing in the range of 4.5% to 6.5% over BBSW continues to offer all-in coupons of 7.77% to 9.77% even after the forecast easing.

9. Basis of preparation

Forecasts are those of Southerly Economics as at 15 September 2026 and are subject to change as data are released. The BBSW forecast assumes a stable premium of about 17 basis points to the cash rate, adjusted for the expected timing of the cut. Illustrative interest cover figures use a 6.5% net operating income yield on value and a 5.5% spread, and are not a substitute for asset level underwriting. This paper is general research and does not constitute financial product advice.